



Weekly Insights | Oct 16, 2025

Item	Page
Stories of the Week	1
Corn	30
Wheat	32
Soybeans	34
Soybean Meal	36
Soybean Oil	38
Weekly Prices	40

Executive Summary

Corn – Board Softens, Carry Incentivizes Storage

December corn eased to about \$4.13/bu on Oct 15 (–2 1/4¢ w/w) as large yields and fast harvest kept pressure on the board. The Dec/Mar carry widened to 16¢ (75 percent of full carry), rewarding commercial ownership and confirming ample supply. River basis stayed under stress from extreme barge surcharges, while ethanol and feed bids in the interior held comparatively firm. Weekly inspections (week ended Oct 10) were 1.13 MMT, led by Mexico and Colombia; export pace +65 percent y/y.

Soybeans – Weak Tone as Exports Lag

November soybeans slipped 15¢ to \$10.07 (–1.5 percent), giving back last week’s modest gains. The Nov/Jan spread reached 18¢ carry (100 percent of full carry) as harvest supplies swelled and Chinese demand stayed light. Processors in the eastern Corn Belt kept crush margins positive, but river-exposed bids weakened another 3–5¢ amid costly freight. Inspections (week ended Oct 10) were 0.994 MMT, still roughly half last year’s pace. NOPA estimated September crush volume at 197.86 mbu exceeding expectations, though soymeal basis stayed firm.

Wheat – Multi-Year Lows, Heavy Global Supply

Chicago SRW December fell 3¢ to \$4.98/bu (–0.65 percent), touching contract low territory as Black Sea exports and large EU stocks weighed. The Dec/Mar spread widened to 16 1/2¢ (75 percent of carry) and open interest rose on fresh shorts. Export inspections (week ended Oct 10) 0.444 MMT, –19 percent w/w but +17 percent y/y, led by Indonesia and Japan. Russia’s zero export tax and EU soft exports kept world offers cheap.

(Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

This material is produced by Higby Barrett LLC Copyright © 2025. All rights reserved. The views expressed and information contained in this publication is believed to be accurate but is not guaranteed by Higby Barrett LLC or the Client. Higby Barrett assume no responsibility or liability for any action taken because of any information or advice contained in this document, and any action taken is solely at the liability of and responsibility of the user.

info@HigbyBarrett.com

Macro/Policy – Softer USD, Cheaper Crude, Ongoing Shutdown

The U.S. Dollar Index dipped 0.5 percent to 98.71, while the Brazilian real hovered near 5.46 and the Argentine peso remained volatile (official 1,362, parallel 1,395). WTI fell below \$58.75/bbl and Brent \$62.45 amid ample supply, pressuring biofuel feedstocks. Ethanol production rose to 1.071 mbpd (+0.4 percent w/w) with margins slightly positive. The U.S. government shutdown, entering its 15th day on Oct 15, continues to pause USDA reporting and export sales, with fee-funded FGIS inspections providing limited visibility into ongoing flows.

Weather - Ideal Harvest Window, Brazil Dryness Emerges

Dry, warm conditions across the Midwest likely advanced corn and soy harvest from 30 percent and 50 percent (USDA, Sep 29) to an estimated 47 percent corn and 67 percent soy by Oct 13, amid the ongoing USDA shutdown. Low river levels persisted in the Mississippi, exacerbating freight costs. Southern Plains HRW saw limited moisture, Kansas establishment uneven. In South America, central Brazil turned dry (Mato Grosso), stalling soy planting 11 percent complete nationally (CONAB, Oct 11), while Argentina stayed moist, supporting wheat and early corn.

What's Next (Oct 15 – Oct 22):

USDA Export Sales restart (Oct 19): corn demand vs Brazil competition; soy sales to China watch

CFTC positions (Oct 20): gauge fund short extension.

River Logistics: Mississippi River levels and barge rates for basis relief or further weakness.

South America weather: central Brazil rains return vs delay scenario.

Ethanol: run rates and processor bids as harvest flows peak.

Russia/EU: export activity and tender results for wheat price direction.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	10/08/2025 Close	10/15/2025 Close	Change (Δ)	Δ%	5-day Realized Vol*	Open Interest Δ
Corn (Dec '25)	\$4.22	\$4.13	-\$0.09	-%2.13	15% (ann.)	+12k (est.)
Soybeans (Nov '25)	\$10.29	\$10.07	-\$0.22	-%2.14	18% (ann.)	+8k (est.)
Wheat (Dec '25)	\$5.05	\$4.98	-\$0.07	-%1.19	12% (ann.)	+5k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	10/08 Quote	10/15 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	+\$0.16	+\$0.16	+0	75%	Carry narrowed slightly; still rewards storage/hedging
Soy Nov–Jan	+\$0.18	+\$0.18	+0	100%	Moderate carry; crushers absorbing supply
Wheat Dec–Mar	+\$0.165	+\$0.165	+0	75%	Steady carry; reflects heavy supply coverage

Assumes 7% annual interest + \$0.05/bu/month storage/insurance. Full carry (3 months) ≈ \$0.22–\$0.23 for corn & SRW wheat; (2 months) ≈ \$0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Mo)	10/08 USD Price	10/15 USD Price	Δ%	Notes
Dalian Corn (Jan)	¥2,143(\$7.66/bu)	¥2,115(\$7.55/bu)	-1%	China corn futures slipped on moderate feed demand; still at premium over import parity due to quotas.
Dalian Soymeal (Jan)	¥3,410(\$13.08/bu)	¥3,420 (\$13.12/bu)	+0.4%	Soy meal firm; steady hog demand amid stable inclusion rates.
B3 (São Paulo) Corn (Nov)	R\$67.01(\$12.2)	R\$67.88(\$12.38)	+1.5%	Brazilian corn firmed on steady domestic logistics and firm export pace despite U.S. competition.
Euronext Wheat (Dec)	€195 (\$211)	€190 (\$206)	-2.3%	EU wheat eased amid ample stocks and slow demand, capped by cheap Black Sea offers.

Corn Market Deep Dive

Futures & Spreads: December 2025 corn futures slipped to \$4.13/bu on Oct 15 (–2 1/4¢, –0.5 percent w/w), consolidating as harvest pressure intensified. The Dec '25–Mar '26 spread held near +16¢ carry (75 percent of full carry, using seven percent interest +\$0.05/bu/mo storage/insurance). With the government shutdown ongoing, traders shifted focus to harvest progress and freight logistics, sidelining USDA data surprises. Implied volatility eased in mid-October, balancing ample supply against firm domestic demand. Commercials continued to leverage carry hedges, while speculative shorts showed no aggressive covering.

Funds & Positioning: No CFTC data is available for the week ended Oct 8 due to the ongoing shutdown. Open interest rose modestly (+12k contracts) on commercial hedging and roll activity. Speculators reduced exposure rather than extending shorts, reflecting stable fundamentals and no fresh bearish catalysts.

U.S. Cash & Basis: Harvest-driven pressure and logistics friction persisted in river-linked markets. Illinois River bids hovered 40–45¢ under Dec; Lower Mississippi locations near 75–80¢ under as barge drafts remained restricted and tariffs exceeded \$19/ton (Cairo-Memphis at \$19.53/ton). CIF Gulf values softened slightly (5¢/bu w/w), while interior processors and ethanol bids held firmer, many near parity to the board in Iowa and Nebraska. Ethanol margins stayed positive, with EIA reporting production at 1.071 mbpd for the week ended Oct 11 (+0.4 percent w/w). National basis averaged ~30¢ under Dec, consistent with harvest-season norms.

Export Flows: With the shutdown ongoing, FAS *Export Inspections* for the week ended Oct 10 totaled 1.13 MMT, up four percent w/w and 65 percent above last year. Mexico (0.49 MMT) and Colombia were top destinations; Japan and South Korea bookings remained modest. No USDA Export Sales data published for week ended Oct 10. Despite solid volume, freight and basis costs limited Gulf competitiveness versus Brazil.

International Trade: Brazilian FOB Santos corn values averaged \$206.50/MT (\$5.24/bu equivalent), maintaining a \$25–30/MT edge over U.S. Gulf offers into Asia. Argentina's Up-River FOBs stabilized around \$196/MT after September's zero-duty holiday ended, keeping a narrow but competitive price

advantage. China remained absent from U.S. books; Dalian Jan corn traded ¥2,371/MT (\$7.90/bu), above import parity due to biotech and quota restrictions. B3 Brazil corn (Nov) was R\$67.88 (\$12.38), up w/w, reflecting steady domestic logistics and firm export pace

So What? Corn pricing remains storage driven. Full carries and weak river basis steer grain into elevator ownership and hedge-and-store strategies. Interior demand from feed and ethanol plants cushions the downside, but U.S. exports face freight and price handicaps against Brazil. With funds lightening shorts and harvest past midpoint, board values are likely to stabilize near \$4.10–\$4.25 until river levels improve or Brazil's FOB advantage narrows.

Soybean Market Deep Dive

Futures & Spreads: November 2025 soybeans eased to \$10.07/bu on Oct 15 (–15¢ w/w, –1.5 percent), as harvest progress and weak export demand widened the curve. The Nov '25–Jan '26 spread reached 18¢ carry (100 percent of full carry, assuming seven percent interest + \$0.05/bu/mo), underscoring abundant nearby supply and slow off-take. Implied volatility remained subdued with the government shutdown ongoing, with traders awaiting fresh USDA data to re-establish directional positions. Crush-linked buying by eastern processors prevented a deeper break despite sluggish river movement.

Products & Crush: Domestic processing margins stayed positive, though narrower than early October highs. NOPA's September crush (published Oct 15) hit 197.86 mbu, exceeding expectations and surpassing last year's figure. Soymeal premiums in the eastern Corn Belt strengthened \$5–10/short ton w/w, reflecting steady feed demand, while soybean oil weakness (BOZ5 50.83¢/lb) trimmed board-crush value to \$1.45/bu. Processors bid aggressively for prompt deliveries; board crush near seasonal averages keeps utilization high entering Q4.

Funds & Positioning: No CFTC data is available for the week ended Oct 8 due to the ongoing shutdown. Open interest expanded (+8k contracts) as commercials rebuild coverage. Speculative participation remained thin, with few pressing shorts as U.S. soybean harvest neared an estimated 67 percent complete (USDA, Sep 29, and NOAA trends amid shutdown) and central Brazil dryness emerged as a potential upside catalyst.

Cash & Basis: River freight costs dominated physical markets. CIF Gulf bids slipped to +60–70¢ vs Nov (–10¢ w/w) as barge drafts stayed restricted; freight quotes exceeded \$19/ton (Cairo-Memphis at \$19.53/ton). Interior elevators widened basis 5–8¢, while processors in Indiana and Ohio held steady at +55–70¢ vs Nov. National average basis ~80¢ under Nov remains among the weakest early-harvest readings in recent years, driven by export bottlenecks rather than surplus stress.

Trade Flows & International Competition: FAS *Export Inspections* for the week ended Oct 10 were 0.994 MMT (+70 percent w/w, 50 percent below last year's 2.01 MMT). China remained largely absent; cargoes cleared for Mexico, Taiwan, and the EU. Brazil retained export leadership with FOB Santos ~\$440/MT (\$10.05/bu) and strong early-season shipments as planting hit 11 percent progress (Mato Grosso 19 percent). Argentina's Up-River offers stabilized near \$465/MT (\$10.63/bu) after its zero-duty window closed, maintaining a \$25–40/MT edge vs U.S. Gulf (\$495/MT). Chinese crushers favored Brazilian origin despite Mato Grosso dryness, leaving U.S. exporters reliant on Western Hemisphere demand.

So What? The soybean complex is constrained by ample U.S. supply and export competition, with domestic crush anchoring floor values. Full carries and weak river basis incentivize commercials to hold inventory. Attention shifts to Brazil's weather, continued dryness could tighten global balance sheets and

spark short-covering, but without a shift in Chinese buying, futures are likely to oscillate near \$10.00–\$10.20 until export demand or South American weather provides direction.

Wheat Market Deep Dive

Futures & Spreads: Chicago SRW December futures fell 3¢ to \$4.99/bu on Oct 15 (–0.65 percent), marking fresh contract lows as global supplies remained heavy. The Dec '25–Mar '26 spread widened slightly to 16 1/2¢ carry (75 percent of full carry on seven percent interest + \$0.05/bu/mo), sustaining storage incentives and confirming comfortable U.S. pipeline coverage. Implied volatility stayed modest as traders awaited USDA data resumption amid the ongoing shutdown and monitored Russian export behavior. HRW and HRS contracts moved in parallel, with Kansas City Dec at \$5.60 (–2¢) and Minneapolis at \$6.10 (–4¢).

Global Supply & Demand: Abundant exportable supply continued to weigh on sentiment. Russia maintained record-large shipments, keeping 12.5 percent protein Black Sea wheat near \$230/MT FOB, while EU values softened to \$235/MT FOB Rouen on slow demand. Australia's crop outlook improved slightly after early-October rains, while Argentina's 21 MMT wheat crop remained on track. These conditions leave the 2025/26 global balance sheet comfortably supplied. In the U.S., 2025 HRW seeding advanced under mostly dry conditions in Kansas and Oklahoma, raising emergence concerns but not yet altering yield expectations.

Cash & Basis: U.S. FOB SRW held near \$248–252/MT, HRW 11.5 percent protein around \$270/MT, priced above Black Sea offers. Gulf export basis weakened by 5–10¢/bu, while domestic mill bids eased amid ample carry-in and limited demand. Interior elevators followed corn's harvest-driven pattern, offering wide carries but little nearby premium.

Trade Flows: FAS *Export Inspections* (week ended Oct 10) totaled 0.444 MMT (–19 percent w/w, +17 percent y/y), led by shipments to Indonesia and Japan. No USDA Export Sales data published for week ended Oct 10. Russia's aggressive tender wins into Egypt and Turkey sustained downward pressure on global FOB benchmarks, leaving U.S. exporters largely sidelined.

Speculative Positioning: No CFTC data is available for the week ended Oct 8 due to the ongoing shutdown. Open interest rose modestly, signaling persistent commercial hedging and limited fund short covering despite the market's oversold condition.

So What? Wheat remains locked in a globally competitive market dominated by Black Sea flows. Full carries, muted volatility, and comfortable stocks keep the U.S. a residual supplier. Domestic basis and export bids track storage economics over consumption signals. Until Russian exports slow or Southern Hemisphere weather threatens supply, futures are likely to drift within a \$4.90–\$5.20 range, with occasional short-covering spikes offering limited relief.

U.S. Cash Market & Basis

Corn: Harvest and low-river logistics sustained pressure on barge markets. Illinois River bids remained 40–45¢ under Dec, and Lower Mississippi bids 75–80¢ under, with freight quotes above \$19/ton (Cairo-Memphis at \$19.53/ton) due to Mississippi River levels lows (6.29 ft at Memphis). CIF Gulf basis softened 5¢/bu w/w, while processor and ethanol bids in the western Corn Belt held near parity amid positive grind margins. Feed demand across the Plains and Southeast maintained interior firmness, preventing a deeper national slide. The national corn basis index averaged roughly 30¢ under Dec, aligned with full-carry storage economics.

Soybeans: River-exposed bids weakened further as barge drafts and surcharges persisted. CIF Gulf bids at +60–70¢ vs Nov (–10¢ w/w) and Midwest elevators 80¢ under Nov reflect freight dominance in nearby values. In contrast, eastern crushers stayed firm at +55–70¢ vs Nov, supported by positive board-crush returns and steady meal offtake. Nationally, basis near 80¢ under Nov remains among the weakest early-harvest levels of the decade, driven by transportation friction rather than oversupply.

Wheat: Cash wheat tracked futures weakness. HRW 11.5 percent FOB Gulf \$270/MT and SRW \$248–252/MT, while Russian 12.5 percent FOB Black Sea held near \$230/MT, maintaining a wide export discount against U.S. origin. Gulf basis eased a few cents as exporters struggled to compete, and interior mills in the southern Plains showed minimal bid response amid ample domestic stocks.

So What? Across U.S. grains, cash markets remain split: export corridors weaken under high freight costs and foreign competition, while inland processors and feed users sustain firmer demand. Full-carry structures reward storage and delay Gulf movement. Until river levels recover or global FOB spreads narrow, basis recovery will lag futures stabilization, keeping commercials in ownership mode rather than pushing grain to export channels.

International Cash & Trade Flows

Brazil: Brazil maintained price leadership in both soy and corn as early planting advanced under uneven rainfall. FOB Santos soybeans averaged \$440/MT (\$10.05/bu), holding a clear discount to U.S. Gulf near \$495/MT and continuing to dominate Asian demand. Corn FOB Santos \$206.50/MT (\$5.24/bu equivalent) preserved a \$25–30/MT advantage versus U.S. Gulf into Asia. While old-crop soybean sales are nearly complete, spot export flow remains steady at 7.84 MMT for October, and exporters are already forward-selling 2025/26 beans at competitive basis levels. Internal logistics were stable, with BR-163 flows normal and Paranaguá lineups moderate. The strong FOB competitiveness and smooth throughput kept Brazil the global benchmark, capping U.S. optionality despite harvest-driven price weakness.

Argentina: The export surge from September's zero-duty holiday has run its course, but its impact continues to echo. Up-River (Rosario) soy FOB normalized near \$465/MT (\$10.63/bu) and corn FOB \$196/MT (\$4.98/bu) after taxes were reinstated. The earlier policy window pulled forward roughly 2 MMT of soybeans sold to China, trimming U.S. business through October. With policy normalization and a stable official peso near 1,362, exports have slowed, but crush and logistics pipelines remain well supplied. Wheat harvesting is about to start in northern provinces, with expected production near 19.3 MMT, adding further global availability.

China: Chinese crushers remained sidelined from U.S. soybeans, focusing on cheaper South American origins. Dalian January soybean futures traded near ¥4,750/MT (\$12.85/bu), while soymeal (Jan) ¥3,410/MT (\$460/ST) slipped on moderate feed demand. Dalian corn Jan at ¥2,371/MT (\$7.90/bu) continued to price above import parity, but quota, biotech, and tariff constraints blocked meaningful U.S. inflows. October customs data showed strong September arrivals of 12.87 MMT from Brazil and Argentina, reinforcing the pattern of South American preference.

EU / Black Sea: Russia's dominance persisted. 12.5 percent protein wheat FOB Black Sea \$240/MT, with continued tender wins into Egypt and Turkey. EU soft wheat offers from France and Poland trailed slightly higher around \$235/MT FOB Rouen, but slow demand kept values defensive. Black Sea competition limited U.S. export opportunities not only in wheat but also in corn and soymeal into North Africa and the Mediterranean. EU ports remained active clearing earlier tenders, but new demand signals were sparse.

Other Origins: U.S. exports during the week ended Oct 10 confirmed steady corn shipments to Mexico and Colombia, while soybeans to the EU and Mexico partially offset China's absence. Canadian wheat exports to Latin America expanded modestly as buyers diversified away from Black Sea dependence.

So What? The global pricing structure remained unchanged: Russia anchors wheat at the floor, Brazil leads soy and corn pricing, and Argentina's post-tax-holiday normalization still limits U.S. recovery in Asia. With Brazil and the Black Sea maintaining clear FOB advantages and freight costs high, U.S. exporters remain residual suppliers. The imbalance between interior strength and Gulf weakness persists until relative spreads narrow or logistics cost ease. For now, the global arbitrage continues to reinforce wide carries and domestic storage incentives, mirroring the board's neutral tone.

Key Fundamentals & Reports (Oct 9 – Oct 15)

Government Shutdown: The U.S. government shutdown, now in its 15th day as of Oct 15, continues to pause USDA, CFTC, and other agency publications, with no resolution after the Senate's ninth failed funding vote. Data gaps from the three-week blackout are expected to be backfilled progressively over the next two reporting cycles upon resumption. Markets are navigating uncertainty, relying on fee-funded inspections and anecdotal trends visible in cash and export data.

Crop Progress (USDA NASS – last official Sep 29; estimated for week ended Oct 13 amid shutdown): Corn harvest is estimated 47 percent complete (vs 42 percent 5-yr avg) and soybeans 67 percent complete (vs 52 percent avg). Crop ratings, based on the final pre-shutdown update (Sep 29), held steady for corn at 65 percent good/excellent (unchanged w/w) and dipped for soybeans to 61 percent (–1 pt). Winter wheat planting is estimated 64 percent complete (vs 68 percent avg), with emergence around 41 percent. Warm, dry weather continued to accelerate harvest and field dry-down, confirming ample supply availability and explaining soft nearby basis conditions.

Export Inspections (USDA FGIS, week ended Oct 10 / published Oct 14): Corn 1.13 MMT (+ four percent w/w, +65 percent y/y); soybeans 0.994 MMT (+70 percent w/w, –50 percent y/y); wheat 0.444 MMT (–19 percent w/w, +17 percent y/y). Mexico and Colombia led corn loadings; EU and Mexico accounted for most soybean flow; Indonesia and Japan dominated wheat shipments. Strong Western Hemisphere corn demand offset Asian competition from Brazil.

Export Sales (USDA FAS, not published Oct 9–Oct 15): The most recent data, covering the week ending Sep 18 (released Sep 25), indicates corn sales at 1.92 MMT (including 0.88 MMT to Mexico), soybeans at 0.72 MMT (with Egypt, Taiwan, and Mexico as key buyers; China notably absent), and wheat at 0.54 MMT (featuring Philippines and Italy among purchasers). These figures continue to anchor demand assessments during the ongoing data hiatus.

Ethanol Production & Stocks (EIA, week ended Oct 11 / published Oct 15): Production 1.042 mbpd (+0.4 percent w/w); stocks 23.5 mb (–one percent w/w). Margins remained positive as natural gas and corn input costs eased slightly. DDGS values held firm at \$195/ST FOB Midwest, supporting processor bids near parity to futures.

CFTC Commitments of Traders: No CFTC Commitments of Traders (COT) data is available for the week ended October 8, 2025, due to the ongoing government shutdown

So What? With the government shutdown ongoing (Day 15), official USDA data remains absent, leaving markets without fresh bullish triggers: U.S. harvest pace is estimated ahead of average, export sales

reflect steady Western Hemisphere demand with persistent Asian weakness, and global stocks appear comfortable. CONAB's dryness warning in central Brazil hints at weather risk, but without production cuts, wide carries and soft basis dominate trade. The lack of USDA data, including the delayed CFTC report, keeps sentiment uncertain ahead of USDA's next WASDE report, which at this point will likely not be published until the November edition is due.

International Reports:

Brazil – CONAB Crop Outlook: CONAB's October bulletin (published Oct 10) confirmed 2025/26 soybean production at 177.6 MMT (–0.2 MMT m/m) and corn at 139.7 MMT (+0.32 MMT m/m). The agency noted “irregular rainfall delays” in Mato Grosso and Goiás, with planting progress near 11 percent (Mato Grosso 19 percent), above last year's nine percent. Southern states remained adequately moist. Despite the slow start, the report maintained a record-yield baseline, signaling confidence in area recovery if mid-October rain returns. Local cash soy prices held near R\$137/sc (\$11.30/bu) and corn near R\$67.88/sc (\$5.24/bu equivalent).

Brazil – ANEC Export Lineups: ANEC projections (Oct 1–11) place October soybean exports at 7.84 MMT, up sharply from 4.5 MMT a year earlier, and corn exports at 6.46 MMT (+16 percent y/y). The strong lineups sustain Brazil's dominance in Q4 export flows even as U.S. harvest peaks. FOB Santos soybeans at \$440/MT and corn \$206.50/MT kept Brazil the cheapest long-haul origin into Asia. Nearby lineups were led by COFCO, Bunge, and Amaggi, indicating continued Chinese preference for Brazilian origin despite emerging dryness concerns.

Argentina – Government Policy and Market Activity: Argentina's markets transitioned smoothly after the late-September zero-duty window expired. Up-River (Rosario) soy FOB stabilized near \$465/MT (\$10.63/bu) and corn \$196/MT (\$4.98/bu) after taxes were reinstated. The Ministry of Agriculture reported 2.0 MMT of soybeans sold under the temporary measure, mostly to Chinese buyers, filling October–November lineups. The official peso 1,362/USD held steady, and exporters resumed operations under the normal 33 percent soy export tax regime. BCR maintained its 19.3 MMT wheat output projection, highlighting a strong exportable surplus into late 2025.

China – Exchange Context (DCE): The Dalian Jan soybean contract near ¥4,750/MT (\$12.85/bu) and corn near ¥2,371/MT (\$7.90/bu) indicate comfortable domestic coverage but no incentive for new U.S. purchases. Imports during September totaled 12.87 MMT, dominated by Brazilian cargoes. State reserve activity was quiet, and crushers continued drawing down South American stocks. MARA's mid-October feed-price survey showed steady inclusion rates, suggesting stable demand but no new buying urgency from China's major crushers.

Black Sea – Public FOB Indications (Russia 12.5 percent): Russian 12.5 percent protein wheat rose slightly to \$240/MT FOB Black Sea, maintaining a record export pace. Russia's Agriculture Ministry confirmed cumulative 2025/26 exports above 21 MMT (+12 percent y/y) as of Oct 12, with October tender wins into Egypt and Turkey sustaining heavy outflows. Ukrainian offers remained slightly higher (\$245/MT FOB), while EU ports (Rouen, Gdynia) mirrored softness around \$235/MT, reflecting ample stocks and sluggish demand. This structure keeps U.S. HRW and SRW as residual suppliers into MENA markets.

Global – IGC / AMIS / FAO Multilateral Balances: IGC's October update (published Oct 10) raised world wheat output +2 MMT to 800 MMT and corn +1 MMT to 1,224 MMT, while AMIS kept global soy production unchanged at 401 MMT. FAO's Food Price Index (Oct 4) showed vegetable oils +1.3 percent

m/m, grains -1.2 percent, reinforcing the benign global supply backdrop. None of these reports altered trade sentiment materially, but they validated the continued wide carry and storage incentive visible across exchanges.

So What? International agencies and regional releases underscored a consistent theme: abundant global supply, soft export margins, and limited upside catalysts. Brazil's strong October shipments kept it the global price setter, Argentina's tax normalization restored equilibrium, and Russia's record wheat exports continue to anchor world grain prices. While central Brazil dryness bears watching, it has yet to translate into volume loss. The return of official reporting refocuses attention on fundamentals, revealing that global markets remain well supplied and U.S. competitiveness constrained.

Weather & Crop Conditions

United States

Crop Progress & Rainfall: Harvest conditions remained ideal through mid-October under warm, dry weather. With the USDA's *Crop Progress* reports suspended amid the government shutdown, unofficial estimates place corn harvest near 47 percent complete (vs 42 percent 5-yr avg) and soybeans around 67 percent (vs 52 percent avg) as of Oct 13. The western Corn Belt remained driest, with only scattered showers across Iowa, Nebraska, and Kansas, sustaining concerns over subsoil depletion and stalk lodging. In the Plains, light rainfall in central Kansas and Oklahoma modestly improved topsoil moisture but was insufficient for uniform HRW emergence. Mississippi River stages fell to seasonal lows (6.29 ft at Memphis and Baton Rouge), maintaining navigation restrictions and elevated barge surcharges.

Temperatures: Above-normal readings dominated the Corn Belt and Plains, averaging 3-6°F above climatology. The absence of frost risk preserved late-maturing soybeans and allowed rapid natural dry-down, while minimal humidity facilitated uninterrupted harvest runs. The downside was continued moisture drawdown, particularly in the western Corn Belt and lower Mississippi basin, reinforcing freight and basis stress.

Outlook (6-10 days): NOAA's forecast (issued Oct 14) projects a warm/dry window through Oct 22, favoring final harvest progress across the Midwest. Limited rainfall is expected in the Ohio and Tennessee basins, potentially easing river levels slightly but not enough for full recovery. In the Plains, a weak frontal system may deliver light to moderate showers by Oct 18-19, aiding HRW establishment if realized.

South America: After early October relief, rainfall in Mato Grosso and Goiás tapered sharply, with total precipitation at 40-60 percent of normal across the central belt. Southern states (Paraná, Rio Grande do Sul) remained adequately moist. CONAB reported soybean planting at 11 percent complete (Mato Grosso 19 percent), two points above last year's nine percent. Forecast models indicate scattered showers returning by Oct 20, but persistent dryness could pressure yield potential if it extends beyond late October.

Argentina: Conditions inverted from September's pattern: the Pampas and Córdoba regions stayed moderately wet, supporting wheat fill and early corn establishment. Soil profiles improved slightly, though producers await consistent rains for full soybean planting. The Rosario Exchange (BCBA) rated 54 percent of wheat in good/excellent condition, steady week-on-week.

Global: Russia and the EU maintained favorable conditions for winter wheat sowing, with no major frost or moisture deficits reported. Australia faced El Niño-linked dryness in Western and South Australia, further trimming wheat yield potential as crops reached maturity. Ukraine benefited from late-September-early-October moisture, improving topsoil ahead of winter wheat planting.

So What? The U.S. weather pattern remains neutral-to-bearish, accelerating supply inflow while prolonging low-water freight bottlenecks. The main weather risk pivots to central Brazil's developing dryness, which could reduce soybean yield expectations if rains fail to normalize. Argentina's improved moisture offsets wheat and early corn concerns. The global weather balance hinges on Brazil's next rainfall window, its success or failure will dictate whether the current harvest-driven bearish tone softens heading into late October.

Synthesis & Outlook

The week of Oct 9–15 marked a restrained stretch across grains as markets operated without fresh government data. With USDA, CFTC, and NASS publications suspended, traders relied on cash signals, freight quotes, and international benchmarks to gauge direction. Futures and cash remained broadly aligned: December corn held near \$4.13, supported by interior ethanol and feed demand; November soybeans hovered near \$10.07, weighed by weak export pull; and Chicago SRW wheat tested new lows near \$4.98 under heavy global supply pressure. Across all three, spreads maintained moderate carries, wide enough to reward storage but not indicating distress, while basis continued to divide firm interior bids from weaker export corridors constrained by river logistics.

With no new CFTC positioning, speculative flows appeared steadily. Fund behavior was inferred from price action rather than official data, with commercial hedging dominating and volatility muted. The absence of government releases reduced speculative engagement, keeping trading ranges narrow and flow driven. Ethanol and crush margins remained positive, providing a domestic floor, while Mississippi River levels near record lows (6.29 ft at Memphis) kept Gulf logistics under pressure.

Global cues provided the only real direction. Brazil's October lineups (ANEC: 7.84 MMT soybeans, 6.46 MMT corn) and Argentina's post-tax-window normalization continued to divert Asian demand away from the U.S., while Russia's record wheat exports (21 MMT YTD, +12 percent y/y) anchored global values. IGC and AMIS early-October updates reaffirmed comfortable world stocks (corn 282 MMT, soy 123 MMT, wheat 266 MMT), and CONAB's latest figures, soybeans 177.6 MMT, corn 139.7 MMT, underscored Brazil's strong production base despite emerging dryness across Mato Grosso and Goiás. The overall tone remained one of orderly but heavy supply and limited fresh catalysts.

Bullish triggers: Relief in Mississippi River logistics, any flash Chinese soybean purchases, or a prolonged dry spell in central Brazil that materially trims yield prospects.

Bearish triggers: Continuation of ideal U.S. harvest weather, absence of new data to unsettle the narrative, and persistent Brazilian and Black Sea price leadership, keeping downside tests open toward \$4.05 corn, \$9.90 soybeans, and \$4.85 wheat.

Watchlist (Oct 15 – Oct 21):

Any indications of government reopening and timeline for data resumption.

Central-Brazil rainfall for planting recovery or escalation of dryness risk.

Mississippi River barge rates and depth changes.

Private export flashes or vessel lineups as surrogates for USDA data.

Russia's wheat tenders and Argentine corn exports for global pricing signals.

In summary: The grain complex remains in a data vacuum, trading on logistics, weather, and international benchmarks rather than fresh fundamentals. Ample supply, wide carries, and firm domestic demand define a steady-to-slightly-bearish tone. Until U.S. agencies reopen and official figures return, markets will continue to move cautiously, sideways to slightly lower, anchored by interior strength and export constraints.

Ethanol for America Act

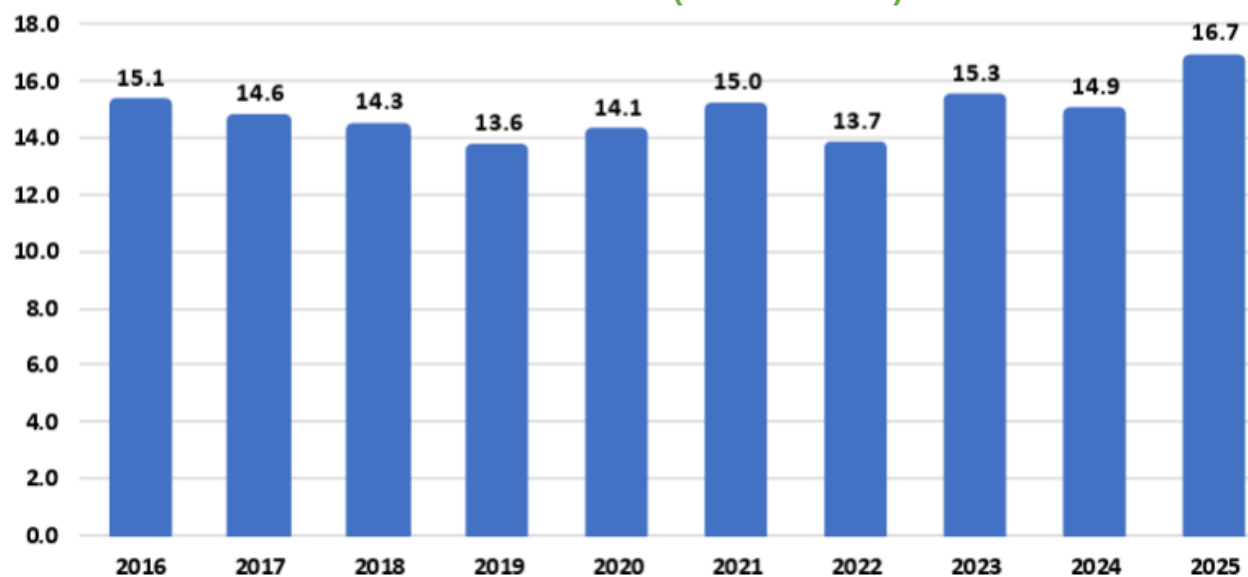
The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA WASDE reported a record crop and a record crop expansion.

USDA WASDE forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 202526 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the U.S. corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.

U.S. Corn Production (Billion Bushels)



Source: USDA

For example:

The National Corn Growers Association (NCGA) is intensifying its call for action from Congress and the administration after the U.S. Department of Agriculture's latest World Agriculture and Supply and Demand Estimates report projected a record 16.7-billion-bushel corn crop this year, further threatening the livelihood of farmers already facing record-low corn prices.